Index Performance in Crisis Periods (2000 Onwards)

DECEMBER 2025 | Report

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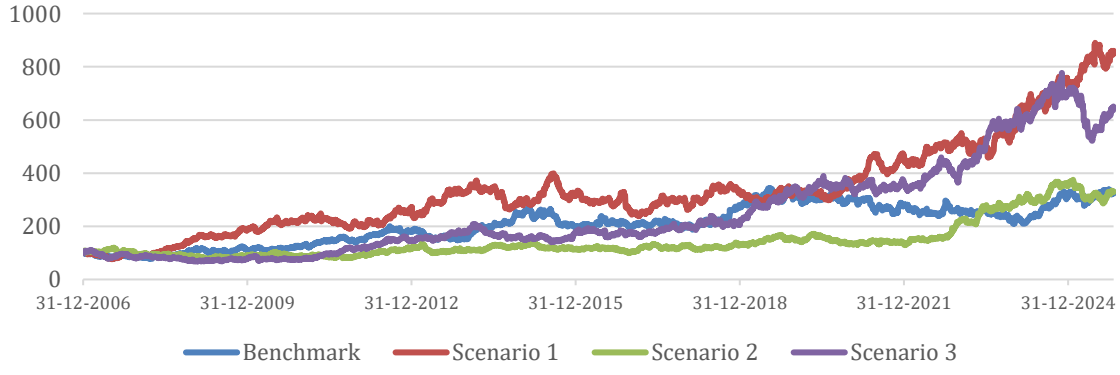
BUILDING THE CASE FOR RESILIENCE IN THE INDEX

This research commentary examines how the Index has performed across major crisis periods since 2000, with an emphasis on drawdown depth, recovery time, macro drivers, and practical implications for portfolio governance. We focus on four flagship episodes: the Dot-com Bust (2000–2002), the Global Financial Crisis (2007–2009), the COVID-19 Crash (2020), and the Inflation-driven Bear Market (2022). The analysis draws on widely cited historical tables and timelines that catalogue peaks, troughs, and the time required to reclaim prior highs, as well as contemporaneous coverage of milestone dates and macro context.

Did the Index Perform Well During Crisis Periods?

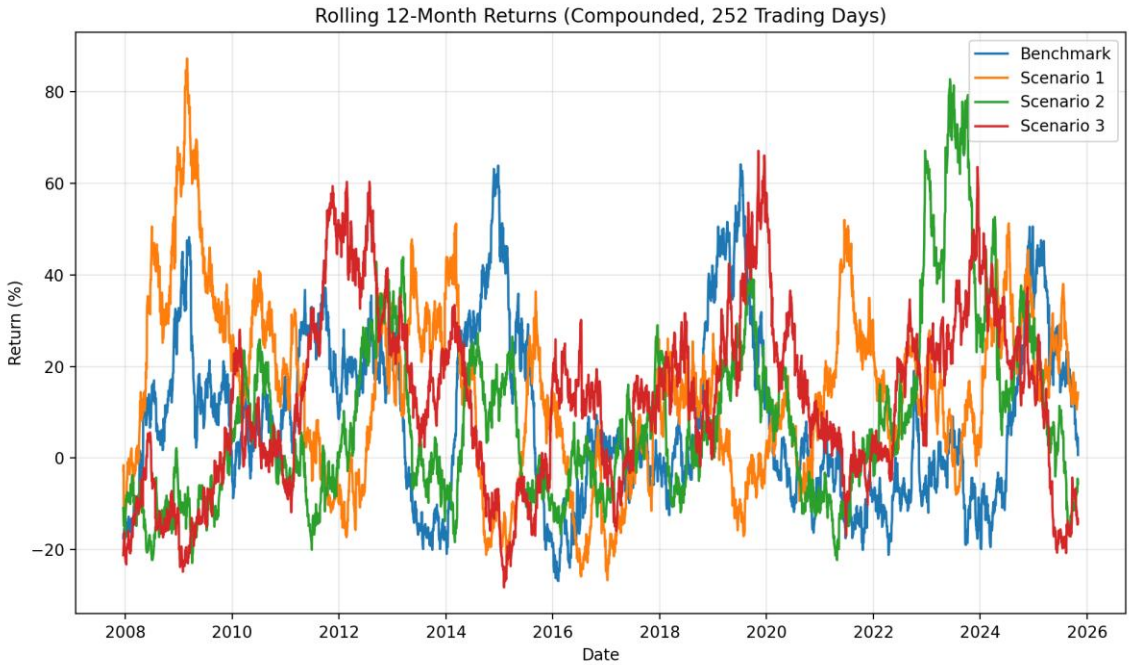
Across the modern era, the INDEX has experienced large but finite drawdowns during crises, followed by recoveries to new all-time highs. Since 2000, the sequence of severe declines—Dot-com (≈−49%), GFC (≈−56.8%), COVID-19 (≈−33.9%), and 2022 inflation bear (≈−25.4%)—was ultimately followed by new peaks after periods ranging from five months (COVID-19) to more than seven years (Dot-com). This range illustrates the central point: the nature of the shock (credit, valuation, inflation, exogenous) and the policy response (rates, QE, fiscal) jointly determine the depth of the damage and the speed of repair. Yet the cumulative pattern is one of resilience: with improved earnings, liquidity, and confidence, the index has repeatedly surpassed its previous highs.



Sensitivity: Internal

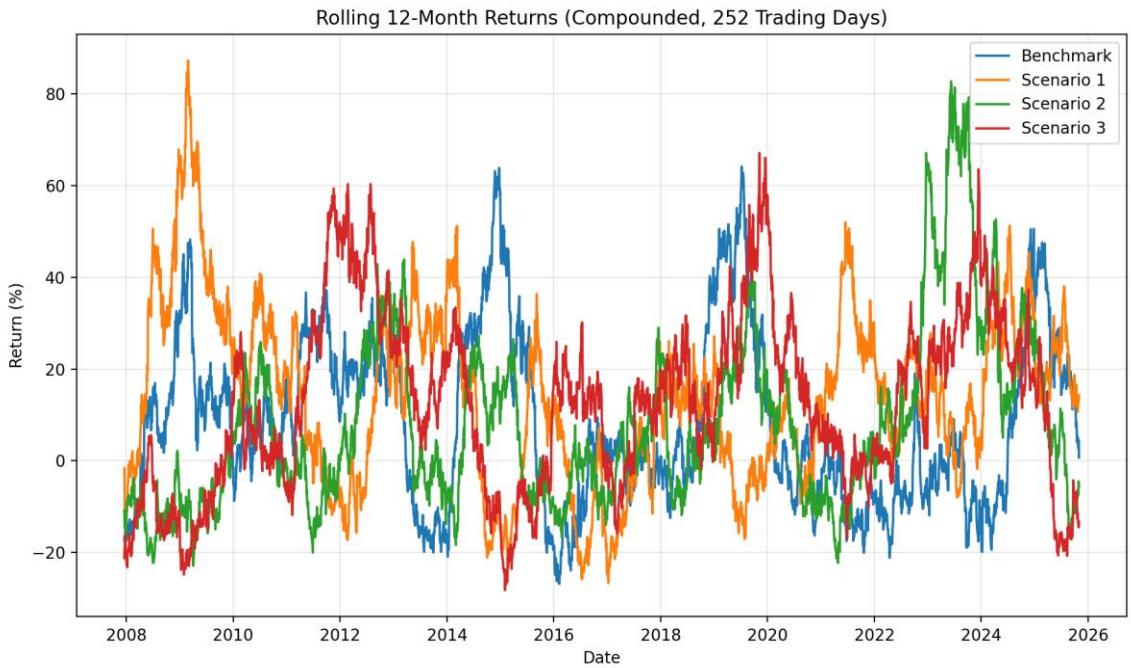
Crisis Periods Since 2000 — Detailed Commentary

Cumulative Performance Indexed 100



1) Dot-com Bust (2000–2002)

- The INDEX peaked on March 24, 2000 and fell to a trough on October 9, 2002, for an approximate **−49.1%** price drawdown. It took until **May 30, 2007** to reclaim the prior high—about **86 months**—reflecting a protracted repair of valuations and earnings. This chronology is documented in widely referenced bear/bull market tables and recovery overlays that track peak-to-trough cycles and the time to new highs.
- The collapse centered on overvalued, often profitless technology and internet segments. As expectations reset and capital discipline returned, earnings quality improved, but sector leadership changed and the market required a long interval to establish a durable base. The starting point mattered: extremely high valuations at the peak lengthened the recovery window.
- Concentration risk and valuation discipline are critical. Investors who avoided overexposure to non-cash-flow leaders and who maintained a rules-based rebalancing approach generally navigated the period better than those who chased momentum into the peak.



2) Global Financial Crisis (2007–2009)

- From **October 9, 2007** to **March 9, 2009**, the INDEX declined approximately **−56.8%**, one of the deepest drawdowns of the modern era. The index did not recover the prior high until **March 28, 2013**, a span of roughly **65 months**.
- The shock was systemic: securitized credit dislocations, bank capital erosion, and a seizure in wholesale funding markets. Policy responses included TARP, successive rounds of quantitative easing, and aggressive rate cuts. Because the shock originated inside the financial system, recovery required comprehensive repair of credit plumbing and bank balance sheets—slowing the pace relative to exogenous shocks.
- Systemic credit events demand liquidity buffers, patience, and scenario governance. Tactical rebalancing into dislocated valuations can add long-run value, but a pre-committed playbook is essential to avoid pro-cyclical capitulation at the trough.

3) COVID-19 Crash (2020)

- The index fell **≈−33.9%** between **February 19, 2020** and **March 23, 2020**—a drawdown completed in **33 days**—and then reclaimed its prior high by **August 18, 2020**, just **five months** later. By **August 16, 2021**, the INDEX had **doubled off its March 23 low** in **354 trading days**, the fastest bull-market doubling since WWII.
- The shock was exogenous (public health), with an abrupt halt in activity. The policy response—near-zero rates, large-scale asset purchases, and exceptional fiscal transfers—bridged cash flow gaps and supported market liquidity. Earnings normalized rapidly as digital-first business models scaled, supply chains adapted, and confidence returned.

- Exogenous shocks with decisive policy bridges can produce V-shaped recoveries. Playbooks that include staged re-risking, liquidity sleeves, and disciplined rebalancing captured the sharp rebound while managing downside variance.

4) Inflation-Driven Bear Market (2022)

- From the **January 3, 2022** all-time high to the **October 12, 2022** trough, the INDEX declined **≈−25.4%**. The index fully reclaimed the prior high on **January 19, 2024**, marking a recovery of roughly **24 months**.
- A surge in inflation and the Fed's fastest rate-hiking cycle in decades lifted discount rates and compressed valuations—especially for long-duration growth equities. As inflation moderated and the rate path stabilized, earnings breadth improved and multiples normalized, supporting the subsequent recovery.
- In inflation regimes, nominal bonds may correlate more positively with equities; hedging requires regime-aware diversification (real assets, value tilt, inflation-linked instruments). Valuation sensitivity to rates argues for dynamic allocation bands and concentration controls.

Phase Summary (2000 Onwards)

Episode	Peak Date	Trough Date	Drawdown (Price)	Months to Trough	Recovered By	Months to Recover
Dot-com Bust	2000-03-24	2002-10-09	≈ −49.1%	31	2007-05-30	86
Global Financial Crisis	2007-10-09	2009-03-09	≈ −56.8%	17	2013-03-28	65
COVID-19 Crash	2020-02-19	2020-03-23	≈ −33.9%	≈ 1	2020-08-18	5
2022 Inflation Bear	2022-01-03	2022-10-12	≈ −25.4%	≈ 9	2024-01-19	≈ 24

Comparative Analysis & Patterns

The four episodes since 2000 demonstrate that **shock type** and **policy response** drive dispersion in both drawdown depth and recovery duration. Systemic credit shocks (GFC) exhibit deeper, longer-lasting damage than valuation resets (Dot-com), while exogenous shocks with decisive policy bridges (COVID-19) can recover extraordinarily fast. Inflation-driven resets (2022) occupy a middle ground: smaller drawdown than 2008 but a recovery paced by disinflation, rate stability, and earnings breadth.

Average drawdown across these episodes is roughly in the low-to-mid **−40%** range when weighting the larger events (Dot-com/GFC) more heavily, but the **distribution is wide**. Equally important, the **variance of recovery time**—from **5 months** (COVID-19) to **86 months** (Dot-com)—underscores why governance must be **regime-aware** rather than relying on fixed recovery assumptions.

Conclusions

Liquidity sleeves and rebalancing rules. Pre-defined buffers and rebalance bands (e.g., at −15%, −30%) reduce behavioral errors and allow staged redeployment during dislocations.

Regime-aware diversification. In inflationary regimes, consider value tilts, real assets, and inflation-linked exposures; in credit shocks, prioritize quality duration and balance-sheet resilience; in exogenous shocks with strong policy support, avoid over-tightening liquidity.

Valuation & concentration discipline. Set position limits for high-duration growth and maintain valuation bands to mitigate multiple compression risk.

Communication standards. Calibrate expected recovery windows to history (months vs years) and document playbooks to avoid ad-hoc pro-cyclical moves.

Sensitivity: Internal